

Employing in Switzerland

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Swiss Code of Obligations
- **Monthly payroll** — salary payments in CHF, itemised payslips
- **Tax withholding** — withholding tax (Quellensteuer) for foreign employees without a C permit
- **AHV/IV/EO, ALV & BVG** — the three-pillar social insurance and occupational pension stack
- **Leave and termination management** — notice periods, entitlements and long-service payment guidance

Employment Conditions

Contracts & Probation

Switzerland has no single national minimum wage — several cantons (Geneva, Neuchâtel, Jura, Ticino, Basel-Stadt) have introduced their own mandatory floors since 2025, ranging roughly CHF 19–24.50/hour. Probation defaults to 1 month unless otherwise agreed.

Item	Detail	Legal Basis
Default probation period	1 month if not specified in contract; may be extended to 3 months by agreement	Code of Obligations, Art. 335b
Cantonal minimum wages	CHF 19–24.50/hour in Geneva, Neuchâtel, Jura, Ticino, Basel-Stadt (no national minimum elsewhere)	Cantonal legislation

Working Hours & Overtime

Rule	Detail	Authority
Maximum working week	45 hours (industrial/office) or 50 hours (other sectors)	Labour Act (Arbeitsgesetz)
Overtime premium	Not universally statutory — commonly 125% by contract/CBA once thresholds are exceeded	Code of Obligations / CBA

Social Insurance Contributions (2026)

Contribution	Employer Rate	Notes
AHV/IV/EO (pension, disability, income compensation)	5.3% of gross salary	No income ceiling; employee matches at 5.3%
ALV (unemployment insurance)	1.1% of gross salary	Capped at CHF 148,200/year; solidarity contribution of 0.5% above that with no ceiling
BVG (occupational pension, 2nd pillar)	Age-based, 3.5%–9% (typically split 50/50 or more employer-weighted)	Mandatory above the CHF 22,680/year entry threshold; total rate 7%–18% rises with age band
UVG (accident insurance, occupational)	~0.1%–2% (industry-dependent)	100% employer-funded; non-occupational accident cover (~1%–3%) is 100% employee-funded
Family allowances (FAK, canton-dependent)	~1%–3% of gross salary	100% employer-funded in most cantons

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	4 weeks/year (5 weeks for employees under 20)	Employer	Code of Obligations minimum; many employers/CBAs offer more
Maternity Leave	14 weeks at 80% of salary	EO (income compensation insurance)	Job-protected for 16 weeks total from birth
Paternity Leave	2 weeks (10 days), flexible within 6 months of birth	EO	Introduced 2021
Sick Pay	Scales with tenure (commonly 3 weeks in year 1, more thereafter under various scales); many employers carry daily sickness allowance insurance (KTG)	Employer (base) + KTG insurance where held	Statutory minimum is modest — most employers exceed it via KTG cover

★ HERO TIP

Switzerland's employer social cost is genuinely lower than most of Western Europe — typically 13%–19% of gross salary excluding BVG, versus 20%+ in neighbouring Germany, France or Italy — but the tradeoff is jurisdictional complexity: cantonal minimum wages, cantonal/communal tax rates, and canton-specific family allowance rates all vary. Confirm the specific canton of employment with your HeroForce EOR before finalising an offer.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%

AHV/IV/EO (5.3%)	\$159.00	5.30%
ALV (1.1%)	\$33.00	1.10%
BVG occupational pension (illustrative, 6%)	\$180.00	6.00%
UVG + family allowance (illustrative, ~2%)	\$60.00	2.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,032.00	~134.4%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. BVG rates rise with age (7% for 25–34 up to 18% for 55–65, split variably) — this example uses a mid-career illustrative rate. Employee deductions (withheld separately) include AHV/IV/EO (5.3%), ALV (1.1%), their BVG share, and Swiss federal/cantonal/communal income tax (or withholding tax for foreign employees without a C permit).

Income Tax (2026)

Switzerland taxes at three levels — federal, cantonal and communal — with cantonal/communal rates varying enormously (Zug and Zurich are comparatively low-tax; Geneva and Vaud comparatively higher). Federal direct tax alone is progressive up to 11.5% for individuals; combined effective rates commonly range from roughly 15% to 35%+ depending on canton and income level. Employees without a Swiss C permit (i.e. most B/L/G permit holders) are taxed at source (Quellensteuer), withheld directly by the employer.

Termination & Separation

Notice Periods (Code of Obligations, Art. 335c)

Length of Service	Notice Period	Key Rule
During probation	7 days	Code of Obligations, Art. 335b
Year 1 of employment	1 month, to the end of a calendar month	Code of Obligations, Art. 335c
Years 2 – 9	2 months, to the end of a calendar month	Code of Obligations, Art. 335c
10+ years	3 months, to the end of a calendar month	Code of Obligations, Art. 335c

Switzerland has no general statutory severance requirement. A limited long-service payment can apply to employees aged 50+ with 20+ years' service under Art. 339b/c of the Code of Obligations, though this is largely superseded in practice by 2nd-pillar (BVG) pension benefits and rarely triggers in a modern compensation structure.

Public Holidays 2026 (Federal, Illustrative)

Switzerland's only universally-mandated federal holiday is 1 August (National Day) — all other public holidays are set cantonally, so the total varies significantly (from around 8 to 15 days) depending on where the employee is registered.

Date	Holiday	Type
1 January	New Year's Day	Cantonal (nearly universal)
3 April	Good Friday	Cantonal (most cantons, not all)
6 April	Easter Monday	Cantonal (most cantons)
1 May	Labour Day	Cantonal (many, not all)
14 May	Ascension Day	Cantonal (most cantons)
25 May	Whit Monday	Cantonal (most cantons)
1 August	National Day (Swiss Confederation)	Federal — the only nationwide mandatory holiday
25 December	Christmas Day	Cantonal (nearly universal)

Confirm the employee's canton of registration before finalising a leave calendar — some cantons observe additional holidays (e.g. Corpus Christi, Berchtoldstag, various local saints' days) not listed above.

Ready to hire in Switzerland?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Switzerland employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).